

BANARAS HINDU UNIVERSITY
U.G. Semester-II Examination, 2024-25 (NEP)

FACULTY OF COMMERCE
Paper Code: COMMD21 — Basic Accounting

Time: 2:30 Hours

Maximum Marks: 70

Instruction: Write your Roll No. at the top immediately on the receipt of this question paper.

Note: Answer all questions. All questions carry equal marks.

Question 1

- (a) Differentiate between Book Keeping and Accountancy.
- (b) Explain in brief various Concepts and Conventions of Accounting.

OR

Define Accounting. Explain the characteristics, functions, process and limitations of Accounting.

Question 2

Record the following transactions in Journal:

oprule	Date (Jan 2025)	Particulars	Amount (Rs.)
	Jan 1	Kumar commenced business with cash	7,000
	Jan 2	Purchased furniture	70
	Jan 3	Purchased goods from Prakash	4,000
	Jan 4	Goods sold to Ram Lal	5,000
	Jan 5	Goods sold to Prem	6,500
	Jan 6	Goods purchased from Ramesh	5,000
	Jan 7	Goods sold to Ashok	8,000
	Jan 8	Ashok returned goods	500
	Jan 10	Paid Wages	100
	Jan 14	Received from Ram Lal in full settlement	4,950
	Jan 15	Goods sold to Amar for cash	4,000
	Jan 20	Withdrew for personal use	1,000
	Jan 22	Paid to Prakash	20,000
	Jan 25	Received from Prem	5,000
	Jan 26	Cash Sales	8,000
	Jan 29	Paid rent for month	2,000
	Jan 31	Paid salary	3,000
ottomrule			

OR

From the following transactions, prepare a Triple Column Cash Book:

oprule	Date (July 2024)	Particulars	Amount (Rs.)
	July 1	Commenced business with cash	50,000
	July 2	Opened Bank Account	20,000
	July 3	Bought Furniture	4,000
	July 4	Purchased goods	25,000
	July 5	Sold goods	12,000
	July 9	Purchased goods by Cheque	5,000
	July 10	Cash sales deposited into Bank	3,000
	July 15	Withdrew cash for business	2,000
	July 17	Paid electricity bill by Cheque	1,500
	July 18	Received commission by Cheque	500
	July 20	Bought goods from Rohan	7,000
	July 24	Sold goods to Mohan	9,000
	July 26	Received a cheque from Mohan in full settlement	8,800
	July 27	Paid to Sohan in full settlement	6,850
	July 28	Deposited cash into Bank	1,200
	July 31	Paid rent by cheque Rs. 1,300 and salary in cash	1,500
ottomrule			

Question 3

What are the various types of errors in Accounts? Explain with imaginary examples.

OR

Draw a Trial Balance from the following balances extracted from ledger accounts of M/s Brothers as on 31 Dec., 2024:

oprule	Account	Amount (Rs.)	Account	Amount (Rs.)
	Capital	15,000	Advertisement	210
	Land and Building	15,600	Rent and Taxes	160
	Bank Overdraft	2,500	Insurance	40
	Cash in Hand	680	Discount Allowed	300
	Opening Stock	6,000	Repairs	210
	Purchases	7,200	Interest Received	500
	Sales	17,000	Debtors	6,620
	Provision for Bad Debts	370	Creditors	4,100
	Wages	1,250	General Expenses	500
	Salary	700		
ottomrule				

Question 4

- (a) Differentiate between Trial Balance and Balance Sheet.
- (b) Show the proforma of Trading Account, Profit and Loss Account and Balance Sheet separately.

OR

Prepare Trading and Profit and Loss Account of M/s Naresh for the year ending 31 Dec., 2024 and Balance Sheet on that date from the following Trial Balance:

Debit Particulars	Amount (Rs.)	Credit Particulars	Amount (Rs.)
Cash in Hand	10,000	Bank Overdraft	10,000
Opening Stock	25,000	Capital	80,000
Purchases	75,000	Interest	2,000
Sales Return	5,000	Sales	1,61,000
Salary	15,000	Purchase Return	2,500
Debtors	1,00,000	Commission	2,500
Machinery	30,000	Creditors	60,000
Wages	10,000	Bills Payable	15,700
Bad Debts	3,500	Discount	800
Furniture	10,000	General Reserve	12,000
Carriage Inwards	2,000		
Office Expenses	6,000		
Insurance	6,000		
Bills Receivables	3,500		
Printing and Stationery	4,000		
Rent	7,500		
Drawings	12,000		
Land	22,000		
Total	3,46,500	Total	3,46,500

Adjustments:

1. Outstanding salary = Rs. 1,500 and outstanding wages = Rs. 1,200.
2. Prepaid Insurance = Rs. 1,000.
3. Accrued Interest = Rs. 250.
4. Depreciate Furniture @ 10% p.a. and Machinery @ 15% p.a.
5. Unexpired commission = Rs. 500.
6. Closing Stock = Rs. 35,000.

Question 5

Write short notes on the following:

- (a) Users of Accounting
- (b) Preparation of Journal
- (c) Rectification of Errors
- (d) Adjustments